

The Information Environment

Like other business resources (e.g. raw materials, capital, and labor), information is vital for the survival of a business organization. In this regard, we have to recognize information as a business resource. Every business day, vast quantities of information flow to decision makers and other users to meet a variety of internal needs. In addition, information flows out from the organization to external users, such as customers, suppliers, and stakeholders who have an interest in the firm.

Information flows.



Figure 1: Internal and External Flows of Information

Data versus Information

Data refers to raw, unorganized facts, figures, symbols, or observations that serve as the fundamental building blocks of information. On its own, data is often meaningless until it is collected, structured, and processed to provide context.

Information is data that has been processed, organized, or structured to provide context and meaning. While raw data consists of individual facts (like a single temperature reading), information connects those facts to make them useful for decision-making.

Information is defined by its impact on the user, not by its format or appearance. It is not just a report of processed facts. True information helps users reduce uncertainty, solve problems, resolve conflicts, and make better decisions.

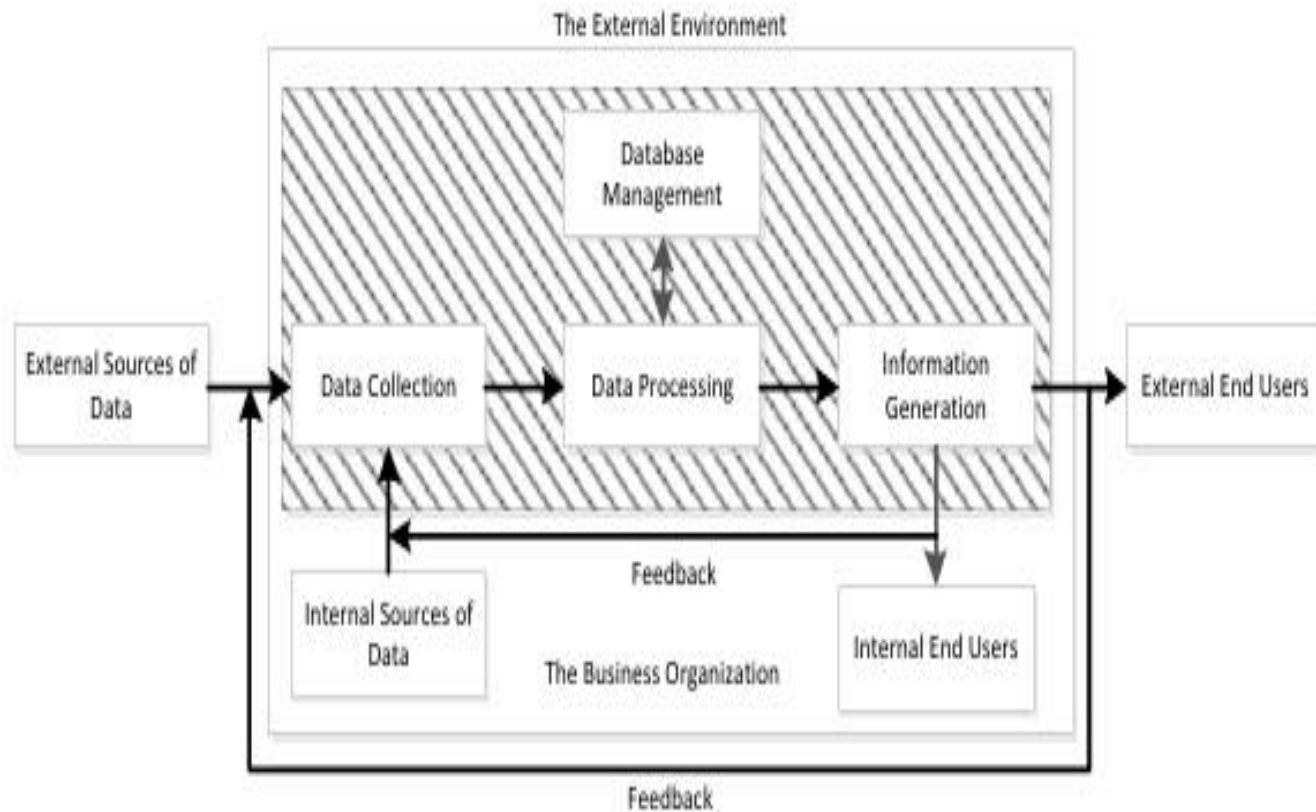


Figure 4: General Model for Accounting Information System

A General Model for AIS

An Accounting Information System (AIS) can be a manual system using paper and pencil, a fully computerized system using modern information technology, or a combination of both. No matter which method is used, the basic process remains the same.

An AIS must collect, record, process, store, and report data and information. Paper forms or computer hardware and software are only tools used to produce information; they are not the system itself.

Framework of AIS and various subsystems

There are six components of an AIS:

- 1) The **people** who use the system
- 2) The **procedures and instructions** used to collect, process, and store data
- 3) The **data** about the organization and its business activities
- 4) The **software** used to process the data
- 5) The **information technology infrastructure**, including the computers, peripheral devices, and network communications devices used in the AIS
- 6) The **internal controls and security** measures that safeguard AIS data.

Framework of AIS and various subsystems

Accounting Information System (AIS)



AIS subsystems

In order to explain how accounting information system could achieve the goals, it is needed to classify organizations' activities into five main cycles which are the subsystems of AIS:

1. Expenditure cycle
2. Production cycle
3. Human resources cycle
4. Revenue cycle
5. Financing cycle

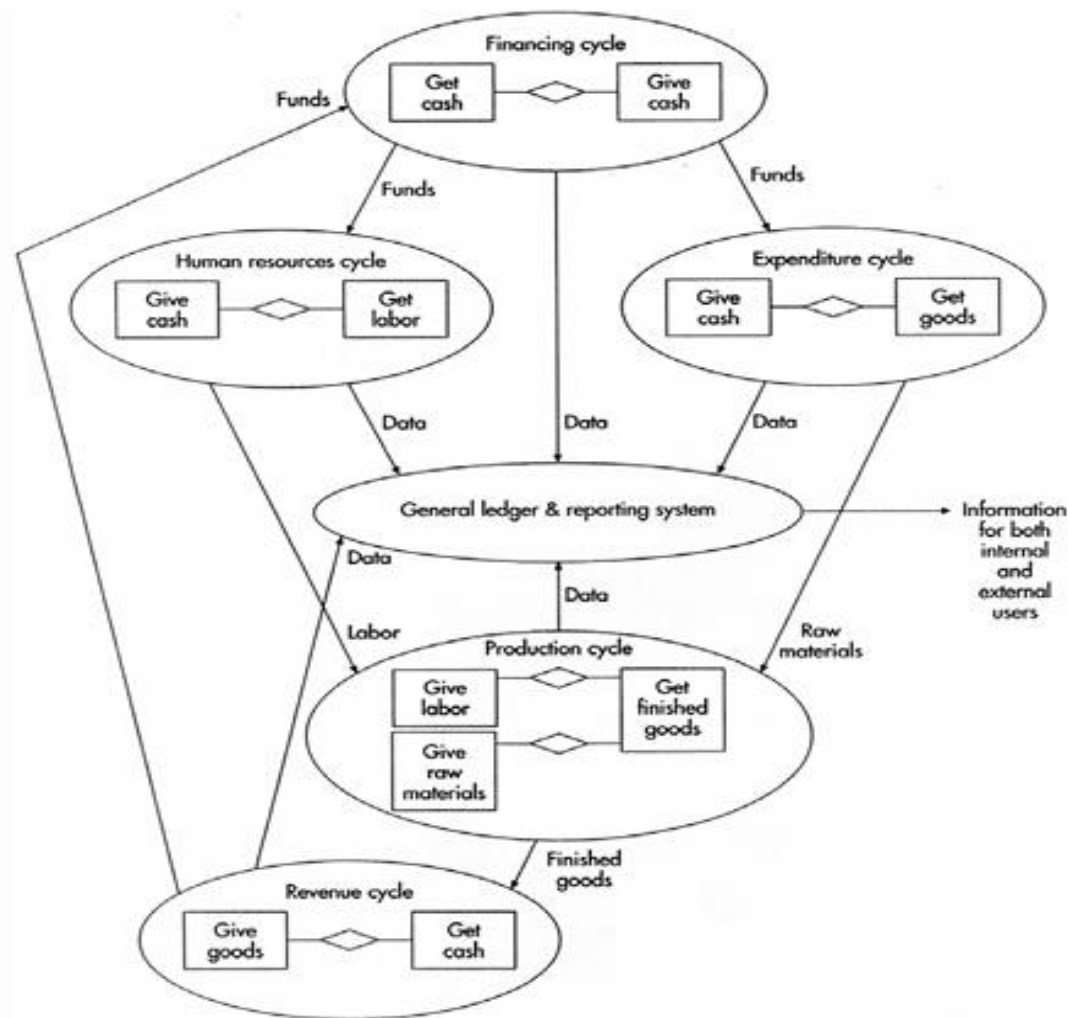


Figure 1. AIS Subsystems

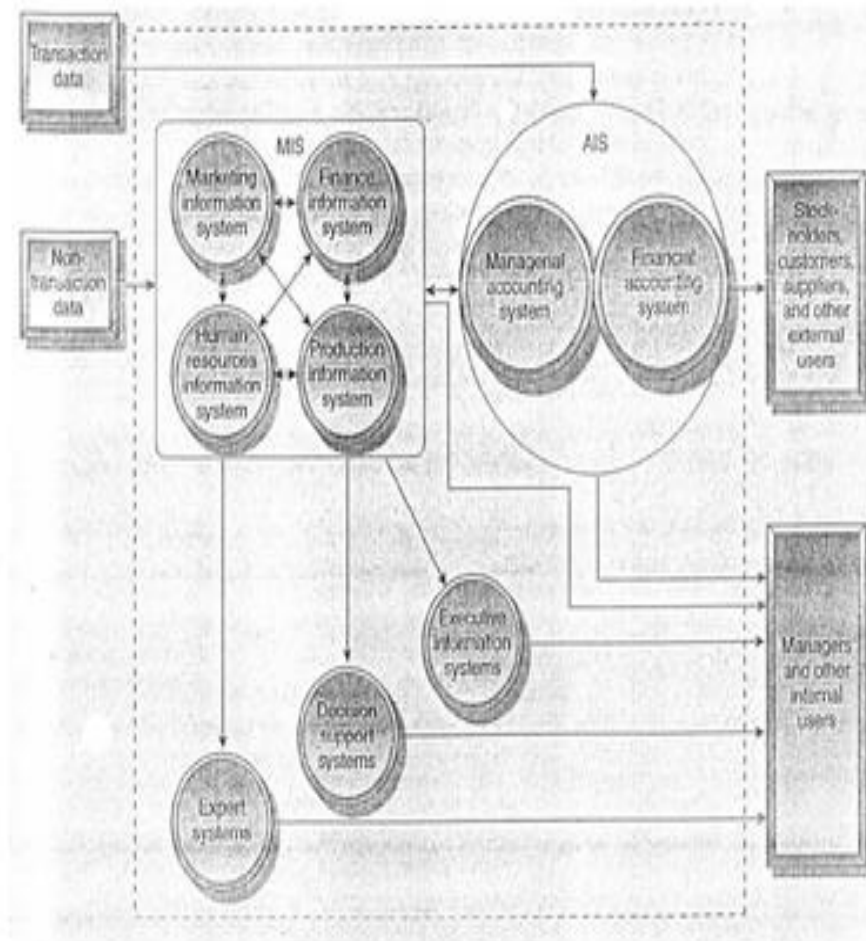


Figure 2. Communications between MIS and AIS

FEATURE	MIS	AIS
Purpose	Provides information to support managerial decision-making	Captures and reports financial and accounting data
Focus	Non-financial data	Financial data
Users	Managers at all levels of the organization	Accountants and financial managers
Data	Includes current and projected non-financial data	Includes financial transactions and accounting data
Legality	Not legally required (except for large entities complying with SOX)	Required by law for directors of companies to keep accounting transactions
Subset	MIS is a superset of AIS	AIS is a partial subset of MIS
Transactions	Uses non-financial transactions as inputs	Requires financial data and some non-financial transactions as inputs

Factors Influencing of AIS

There are three areas that specifically influence AIS;

- Behavioral Analysis,
- Quantitative Methods and
- Contemporary Management Concepts.

Factors Influencing Design of AIS

- ✓ **Financial reporting standard**
- ✓ **Institutional accounting**
- ✓ **Infrastructure and technology management commitment**
- ✓ **Data and information quality**
- ✓ **Employee attitude and willingness**
- ✓ **System complexity**
- ✓ **Organizational culture**

Components of Accounting Information System

- **General Ledger System**
- **Asset Management**
- **Order-entry System**
- **Inventory Control System**
- **Payroll System**
- **Cash Management**

How an AIS Can Add Value to an Organization

A well designed AIS can add value to an organization by:

- Improving the quality and reducing the costs of products or services
- Improving efficiency
- Sharing knowledge
- Improving the efficiency and effectiveness of its supply chain
- Improving the internal control structure
- Improving decision making

Goal conflict vs. Goal congruence

Goal conflict happens when the objectives of one part of an organization do not match the objectives of another part or the overall organization.

Goal congruence occurs when a department or subsystem achieves its own goals while also helping the organization achieve its overall goals

As an organization becomes larger and more complex , it becomes harder to ensure goal congruence.